

Managerial Finance: Quiz Solutions

Quiz 1 (Chapter 1) and Quiz 2 (Chapter 2)

Method. Every answer is grounded first in the provided lecture files (chapter_1.pptx and chapter_2.pptx). An external source is used only where the lecture lacks the needed information; this happens once (Quiz 1, Question 5) and is labelled. Calculation questions use the formulas exactly as the lecture states them (for example, a 360-day year for DSO). Questions are reproduced as they were sent; two items with irregularities are flagged in the notes.

Quiz 1 - Chapter 1: Introduction to Managerial Finance

Question 1

The wealth of stockholders is maximized while taking into consideration the benefits of the other classes of stakeholders.

a. True [CORRECT]

b. False

Correct answer: True

Rationale: The lecture states the ultimate objective as stockholder wealth maximization, and says the firm should consider other stakeholder classes while pursuing it.

Lecture reference: Ch. 1, Slide 8: "While trying to maximize the wealth of stockholders, the corporation should take into consideration other classes of stakeholders." Slide 7 gives the ultimate objective; Slide 9 lists the stakeholders.

Question 2

Managers can work for the best interests of stockholders through all of the following EXCEPT -----

a. Managerial compensation

b. Direct stockholders intervention

c. Protective debt covenants [CORRECT]

d. Threat of firing

Correct answer: c. Protective debt covenants

Rationale: Covenants are a tool creditors use to protect themselves against managers acting for stockholders. The other three are listed ways to align managers with stockholders.

Lecture reference: Ch. 1, Slides 13-14 list the four ways: compensation, firing, hostile takeover, direct intervention. Slide 18 places protective debt covenants under creditor protection.

Question 3

Stock options take place through -----

- a. Performance shares
- b. Performance plans
- c. Work contracts

d. Incentive plans [CORRECT]

Correct answer: d. Incentive plans

Rationale: Compensation tied to stock price is called an incentive plan, and stock options are the example given. Performance shares belong to performance plans, which are tied to measures such as EPS.

Lecture reference: Ch. 1, Slide 15: "when this compensation is tied to stock price it is termed as incentive plans. This could be done through: Stock options."

Question 4

The ultimate objective of the corporation is to -----

a. Maximise the wealth of stockholders [CORRECT]

- b. Maximise profits
- c. Maximise ROA
- d. Maximise ROE

Correct answer: a. Maximise the wealth of stockholders

Rationale: The lecture names stockholder wealth as the ultimate objective and says explicitly that it is not profits, EPS or ROE, because net income can be manipulated through accounting practices. ROA is never given as the objective.

Lecture reference: Ch. 1, Slide 7 (ultimate objective and what it is not) and Slide 8 (why not profit, EPS or ROE).

Question 5

The financial manager is concerned with -----

- a. Working capital management
- b. Capital budgeting
- c. All of the above [CORRECT]
- d. Capital structure

Correct answer: c. All of the above

Rationale: The financial manager's three core areas are capital budgeting, capital structure and working capital management.

Lecture reference: Not found in the lecture. Ch. 1, Slide 3 only says financial management "deals with acquiring and using funds for the best interests of the owners" and does not list the three areas.

SOURCE TRANSITION (Tier 2 external data): McGraw-Hill Higher Education, *Corporate Finance* textbook companion site, Chapter 1, section 1.1 "Corporate Finance and the Financial Manager." It identifies capital budgeting, capital structure and working capital management as the three areas of corporate financial management.

Quiz 2 - Chapter 2: Financial Ratios

Question 1

It is very difficult to compare between firms based on performance because of -----

- a. None of the above
- b. Size effect
- c. Currency effect

d. a and b [CORRECT]

Correct answer: d (see note)

Rationale: The lecture gives two causes: size difference and currency difference. Option d is the only choice that combines two causes.

Lecture reference: Ch. 2, Slide 2: "Size difference: Small versus large size companies. Currency differences: Dollars versus Egyptian pounds."

Note: Option d reads "a and b" as sent, which looks like a typo for "b and c" (size + currency). If your quiz has an option "b and c", choose that one.

Question 2

The group of ratios that measures the ability of the firm to meet its short term obligations

- a. Profitability ratios
- b. Asset management ratios
- c. Debt management ratios

d. Liquidity ratios [CORRECT]

Correct answer: d. Liquidity ratios

Rationale: Liquidity ratios compare current assets with current liabilities (obligations due within one year). Debt management ratios cover long-run obligations; asset management and profitability ratios measure efficiency.

Lecture reference: Ch. 2, Slide 6 (liquidity ratios), Slide 7 (current liabilities), Slide 44 (debt ratios are long run), Slides 21 and 55.

Question 3

The ratio that measures the amount of sales revenues generated per \$ of total assets

- a. Return on equity
- b. Fixed assets turnover
- c. **Total assets turnover [CORRECT]**
- d. Return on total assets

Correct answer: c. Total assets turnover

Rationale: Total assets turnover = Sales / Total Assets and is interpreted as sales revenue generated per \$ of total assets. Fixed assets turnover uses net fixed assets; ROA and ROE use net income.

Lecture reference: Ch. 2, Slide 23 (total assets turnover), Slide 24 (fixed assets), Slides 56-57 (ROA, ROE).

Question 4

Sales revenues = 2,000,000

CGS = 30% of sales revenues

Inventory turnover = 3x

Inventory = ?

- a. 475,000
- b. 600,000
- c. 800,000

d. **200,000 [CORRECT]**

Correct answer: d. 200,000

Rationale: CGS = 30% x 2,000,000 = 600,000. Inventory turnover = CGS / Inventory, so Inventory = 600,000 / 3 = 200,000.

Lecture reference: Ch. 2, Slide 22 (Inventory turnover = CGS / Inventory); Slide 35 (CGS derived as a % of sales).

Question 5

Based on the previous givens, if current assets = 800,000 and cash = 125,000, then AR = ?

a. 475,000 [CORRECT]

b. 200,000

c. 125,000

d. 600,000

Correct answer: a. 475,000

Rationale: Current assets = Cash + AR + Inventory. Using inventory = 200,000 from Question 4: $AR = 800,000 - 125,000 - 200,000 = 475,000$.

Lecture reference: Ch. 2, Slide 6 (components of current assets); Slides 12 and 36 (Cash = current assets - AR - inventory, rearranged).

Question 6

DSO = ?

a. 5.58 days

b. 80 days

c. 5.85 days

d. 85.5 days [CORRECT]

Correct answer: d. 85.5 days

Rationale: Average daily sales = $2,000,000 / 360 = 5,555.56$. $DSO = AR / \text{daily sales} = 475,000 / 5,555.56 = 85.5$ days. All sales are treated as credit sales because no separate credit-sales figure is given (as the lecture does in Problem 32).

Lecture reference: Ch. 2, Slide 30 ($DSO = AR / (\text{credit sales} / 360)$); Slide 82 (same method using total sales).

Question 7

Equity multiplier = 1.66

Equity / Total assets = ?

a. 0.34

b. 60% [CORRECT]

c. 40%

Correct answer: b. 60%

Rationale: Equity multiplier = Total assets / Equity = 1.66, so Equity / Total assets is its inverse: $1 / 1.66 = 0.602$, about 60%.

Lecture reference: Ch. 2, Slide 63 (equity multiplier = total assets / equity); Slide 85 (equity as a share of total assets).

Question 8

Debt ratio = ?

- a. 0.66
- b. 40% [CORRECT]**
- c. 60%
- d. 0.34

Correct answer: b. 40%

Rationale: Total assets = Debt + Equity, so the debt ratio is the complement of equity / total assets: $1 - 0.60 = 40\%$. Check: Debt / Total assets = $0.66 / 1.66 = 0.398$. Option a (0.66) is Debt / Equity, not the debt ratio.

Lecture reference: Ch. 2, Slide 45 (Total debt ratio = Total debt / Total assets; Total assets = total debt + equity); Slide 58 (equity multiplier = $1 + \text{debt/equity}$).

Question 9

Equity multiplier = ?

- a. 0.34
- b. 60%
- c. 0.66 [CORRECT]**
- d. 40%

Correct answer: c. 0.66 (see note)

Rationale: Following the chain from Questions 7 and 8: Debt / Equity = $40\% / 60\% = 0.66$. The lecture gives equity multiplier = $1 + \text{debt/equity}$, so the multiplier itself is 1.66. Of the listed options, only 0.66 can be produced from the previous questions.

Lecture reference: Ch. 2, Slide 58 (Problem 20): "equity multiplier = total assets / equity = $1 + \text{debt/equity}$."

Note: The equity multiplier is 1.66, which is not among the options. Option c (0.66) is the debt/equity value, most likely what the quiz intended. Please check the original wording.

Answer Key

Quiz 1 (Chapter 1)	Answer
Q1	True
Q2	c. Protective debt covenants
Q3	d. Incentive plans
Q4	a. Maximise the wealth of stockholders
Q5	c. All of the above (Tier 2 source)

Quiz 2 (Chapter 2)	Answer
Q1	d (see note: likely intended 'b and c')
Q2	d. Liquidity ratios
Q3	c. Total assets turnover
Q4	d. 200,000
Q5	a. 475,000
Q6	d. 85.5 days
Q7	b. 60%
Q8	b. 40%
Q9	c. 0.66 (see note: multiplier = 1.66)

Sources: lecture files chapter_1.pptx and chapter_2.pptx (Tier 1) for all questions except Quiz 1, Question 5, which uses the McGraw-Hill Higher Education *Corporate Finance* companion site (Tier 2).